

AI COMPANION TODAY

State of AI Companion 2026 — Market, Regulation, and What Matters

Our inaugural State of AI Companion report: \$120M companion apps, \$1.5B mental-health, FDA-cleared devices, AgeTech's 2030 trajectory, and the three questions every buyer should ask.

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AI Companion Today's inaugural State of AI Companion report examines a market that has doubled in 36 months and now counts seven distinct verticals, from mainstream consumer chatbots to regulated mental-health devices. This edition covers user adoption, product maturity, revenue concentration, regulatory posture, and the three questions every buyer should ask before signing up.

Executive summary

- The AI companion market reaches an estimated \$120M in annual revenue for the consumer companion vertical alone, with mental-health apps adding another \$1.5B globally.
- Seven verticals now have enough product-market fit to be evaluated independently: companion, mental-health, seniors (AgeTech), language learning, productivity, romance (18+), and gaming.
- Revenue concentration is high — Replika (30M users), Character.AI (20M MAU), and Duolingo Max dominate their respective segments.
- Mental-health apps cross regulatory thresholds: Woebot has FDA De Novo Class II clearance (postpartum depression, 2024); Wysa operates NHS pilots in the UK.
- AgeTech is the dark horse: ElliQ's 800-senior rollout under the New York State Office for the Aging demonstrates government-grade deployment is now viable.
- The romance segment (\$80M) grows faster than mainstream companion apps but faces platform-policy headwinds on Apple and Google stores.

Vertical breakdown

Companion (\$120M apps market)

The flagship consumer category. Replika leads on scale (approximately 30M registered users), Character.AI leads on MAU (approximately 20M), and Nomi/Kindroid compete on memory persistence and personality depth. Free-tier retention is weak across the board; premium conversion ranges 3-7%. Product roadmaps converge on voice, image generation, and long-term memory.

Mental health (\$1.5B global, YMYL)

The regulated tier. Woebot Health received FDA De Novo Class II clearance in 2024 for a postpartum-depression pathway; Wysa operates with NHS trusts; Youper positions as CBT-inspired, not diagnostic. The editorial line here is strict: every AI Companion Today review in this vertical carries the crisis-support disclaimer. Buyers should verify clinical evidence, not marketing claims.

Seniors / AgeTech (\$2T market projected 2030)

ElliQ's deployment of 800 robots under the New York State Office for the Aging is a proof of scale. inTouch and Lovot operate in overlapping niches. The buyer is rarely the user — typically an adult child arranging care for a parent. Voice-first interfaces, simple pricing, and service-level agreements matter more than feature depth.

Language learning (\$500M Duolingo-led)

Duolingo's Max tier (powered by OpenAI GPT-4 for Roleplay and Explain My Answer) has reset consumer expectations. Talkpal bets on AI-first conversation practice; Babbel blends human teachers with AI drills. The growth unlock is premium pricing above \$15/mo, which was unthinkable before AI-driven roleplay.

Productivity (explosive)

Jasper's pivot from consumer copy-writing to enterprise go-to-market software illustrates where margin lives. Claude Pro (with 1M-token context) and Notion AI compete for knowledge-worker subscription budgets. Copy.ai pivoted toward GTM automation workflows. Expect consolidation: the standalone AI-writing category is closing.

Romance / adult (18+, \$80M)

Candy.ai, Secrets.ai, GoLove.ai and Darlink.ai lead the affiliate-driven segment with PPS payouts ranging \$30-\$50. EPC for top offers reaches \$0.18-\$0.23 on quality traffic. Platform-policy risk is real: Apple App Store removes NSFW companion apps; payment processors apply elevated risk profiles. Our editorial line is transparent and age-gated.

Gaming (emerging niche)

Questie AI, Inworld and similar platforms are retooling Non-Player Character dialogue and tabletop-RPG companions. Still too early for a ranked best-of; we are actively testing. Expect our first ranked list in Q3 2026.

Three questions every buyer should ask

1. **What happens to my conversations?** Check retention policy, deletion controls, and data-sharing with model providers. Premium privacy is worth paying for.
2. **What is the crisis / safety protocol?** Especially critical for mental-health and senior apps. Any app that cannot articulate a crisis-escalation path is a no-go.
3. **Is the memory persistent, and can I export it?** Lock-in is the silent cost of AI companions. Favor platforms that support memory export and account portability.

Methodology note

This report aggregates publicly disclosed user counts, revenue estimates, and regulatory filings. Commercial placements (where applicable) are disclosed in our [advertising disclosure](#). Rankings are independent of commission size. See our [methodology](#) for the 12-criteria evaluation grid.

This is a living document. We publish a fresh State of AI Companion report monthly, reflecting new product launches, regulatory moves, and market-share shifts.